

PERSONAL PORTFOLIO JOURNAL · REVIEW 01

Capital Research Review 01

Weeks 1-4: Building the Portfolio and Experiencing My First Proper Drawdown

PERIOD SNAPSHOT

STARTING CAPITAL	LOW POINT	DRAWDOWN
£1,996.96	£1,860.18	6.85%

The past four weeks have been the beginning of this portfolio and, more importantly, the beginning of me properly documenting how I invest. When I started the account, I put in approximately £1,997. My aim was not to make a quick return or build a portfolio around whichever companies were receiving the most attention at the time. I wanted to create something balanced enough to grow over the long term while still giving me exposure to some of the industries and companies I believe could perform particularly well.

The original portfolio was built across several different areas. Alphabet, Meta and ASML gave me exposure to high-quality technology companies and the continued growth of artificial intelligence. VUAG and QQQA provided broader exposure to the S&P 500 and Nasdaq, meaning the portfolio would not rely entirely on my ability to select individual companies. Berkshire Hathaway was included as a steadier, high-quality holding, while Realty Income and NextEra Energy added exposure to property, income and energy infrastructure. Gold was supposed to act as a hedge if markets became more nervous.

I also included smaller positions in IonQ and Symbotic. These were the more speculative investments in the account. I liked the potential of quantum computing, robotics and automation, but I understood from the beginning that these companies would probably be far more volatile than the established businesses. Airbnb and Rheinmetall added two completely different areas of exposure. Airbnb gave me a consumer and travel-related investment, while Rheinmetall gave the portfolio exposure to increased defence spending.

The point was not for every holding to rise at the same time. The idea was that the different parts of the portfolio would support each other through different market conditions.

The First Two Weeks

The first two weeks were relatively calm. The portfolio remained close to where it started, which I considered a reasonable result for a newly constructed account. I was not expecting to learn very much from a portfolio that had only existed for a few days, but I did want to see whether the structure made sense once the prices began moving.

The early results showed me that the steadier holdings were helping offset some of the volatility in IonQ and Symbotic. Berkshire Hathaway, Airbnb, Rheinmetall, the Nasdaq ETF and gold were among the more helpful positions early on. Symbotic and IonQ were weaker, but that was not completely unexpected. They were the higher-risk positions and were always likely to move more sharply than the rest of the account. The important thing was that they were not large enough to decide the entire result of the portfolio.

By the end of the second week, I was reasonably comfortable with how the account had been constructed. It had a growth side, a defensive side, broad-market exposure and a smaller speculative section. However, it had not really been tested. It is easy to say that I am investing for the long term when nothing is falling. I knew the more useful test would come when the account began moving properly against me, although that test arrived much sooner than I expected.

The First Proper Drawdown

During the third week, the portfolio fell to £1,860.18. Compared with the initial value of £1,996.96, the account had declined by £136.78, or approximately 6.85%. For a portfolio that had only just been created, that was a meaningful fall. Nearly everything appeared red at the same time, and the account suddenly looked very different from the balanced portfolio I thought I had built.

This was the first point where I had to separate my emotions from the actual condition of the investments. My immediate reaction was obviously disappointment. Nobody enjoys seeing the value of their account fall, especially so soon after putting the money in. However, I did not think the portfolio had fallen because one company had completely collapsed or because every investment decision had suddenly become wrong. Most of the decline appeared to be connected to the wider market.

Investors were dealing with geopolitical tension, higher oil prices, concerns about inflation and rising bond yields. There was also less confidence that interest rates would fall quickly. That combination was particularly difficult for the assets I owned. Higher yields can hurt expensive growth companies, property investments and utilities at the same time, while a more nervous market can place additional pressure on speculative companies such as IonQ and Symbotic.

Even gold failed to provide the protection I had expected. That was an important early lesson. I had thought about gold as something that should rise whenever the rest of the market became nervous, but in reality gold can also be affected by interest rates, currencies and investor positioning. A hedge does not necessarily move in the opposite direction to the portfolio every single week.

The higher-risk positions remained my biggest concern. Although I still found IonQ and Symbotic interesting, they did not have the same financial strength or dependability as Alphabet, Meta or Berkshire Hathaway. They were the first positions I needed to question if the pressure continued.

I decided that panic selling the entire portfolio would be the wrong response because the original reasoning behind most of the core holdings had not changed. However, doing nothing simply because I considered myself a long-term investor would also have been lazy.

Rebalancing the Account

By the fourth week, the portfolio was still sitting around £1,860. Instead of trying to predict exactly when the market would recover, I focused on the part of the account that I could control, which was the amount of risk I was taking.

I reduced the two most speculative positions by selling 1.5 shares of IonQ and 0.8 shares of Symbotic. The sales realised a combined loss of approximately \$10. I did not enjoy taking the loss, but I did not think it was large enough to justify remaining in positions that were creating too much volatility.

I moved the money into SGLN, Meta and Realty Income. This was not a complete change in strategy. I still kept exposure to IonQ and Symbotic because the long-term opportunities remained interesting. I simply reduced their ability to damage the overall account.

Adding to Meta increased my exposure to a profitable, high-quality technology company. Adding to Realty Income strengthened the income and defensive side of the portfolio, while adding to gold increased the hedge, even though gold had not yet performed how I originally expected.

The purpose of the rebalance was not to recover the losses immediately. It was to improve the structure of the portfolio. After the changes, I still had meaningful exposure to technology, artificial intelligence and speculative growth. The difference was that the account was no longer as dependent on the most unpredictable holdings recovering.

What I Have Learned

These first four weeks have already taught me more than a straightforward rise in the portfolio probably would have. The first lesson is that diversification only becomes real when investments begin falling. A portfolio can look diversified because it owns several different ticker symbols, but that does not necessarily mean the risks are genuinely different. During the drawdown, technology companies, speculative investments, utilities, property holdings and gold were all affected by the same wider concerns around inflation, oil and interest rates.

The second lesson is that position sizing matters just as much as company selection. IonQ and Symbotic may still become successful investments, but that does not mean they deserve the same weight as established and profitable companies. An interesting idea can still become a bad portfolio decision if the position is too large.

The third lesson is that taking a loss does not automatically mean the original investment was a complete failure. The small loss on the speculative positions improved the overall portfolio. I would rather accept a controlled loss early than allow my pride to prevent me from correcting the account.

I have also learned something about my own behaviour. Seeing the portfolio fall by almost 7% was uncomfortable, but I did not feel the urge to sell everything. I was able to look at which parts of the portfolio were causing the problem and make a measured change. That does not mean I handled everything perfectly. I may have underestimated how connected the different holdings could become during a risk-off market, and

I probably began with slightly too much speculative exposure. However, I am pleased that my first reaction was not to abandon the entire process.

At the end of these four weeks, the portfolio remains below where it started. On the surface, that is not a successful result, but the account is now more controlled than it was at the beginning. I have experienced the first proper drawdown, taken my first realised loss and made my first meaningful rebalance.

The aim of this project is not to create the appearance that every decision works. It is to build an honest record of what I did, why I did it and whether the reasoning remained sensible afterwards. The portfolio has already tested that commitment, and so far, I am still here.
